

and Kingsley called Blasius again in late February, by which time they had acquired 70,000 shares of Tappan stock, to let Blasius know that Icahn was interested in Tappan for its potential as a takeover candidate. As he had after the first call, Blasius dutifully sent a memo to Dick Tappan in which he noted that Icahn had told Blasius that he “had made a lot of money in buying low-priced stocks that were in the process of turnaround. In some cases, the turnaround improved the value of the stock, but in other cases a buy-out was completed which approximately doubled the stock price.” Blasius further noted that “they consider [Tappan] a good possibility for this occurring, which is added incentive for their investment.”<sup>12</sup>

Icahn continued to build his holding in Tappan stock to several hundred thousand shares—a sizeable position, but still too small to require him to file a *Schedule 13D* notice with the SEC. The Schedule 13D notice lets the market know the intentions of a shareholder who owns more than 5 percent of a company’s outstanding stock and who proposes to undertake some corporate action, including a takeover, liquidation, or other change-of-control event. Icahn had hoped that his continued purchases might alert others to the situation developing at Tappan, including risk arbitrageurs—investors who bet on the outcome of takeovers—other potential strategic acquirers, and their investment bankers. In the 1980s, risk arbitrageurs with a position in a stock would often turn a rumor about a takeover into a self-fulfilling prophecy. Unfortunately for Icahn, the explosion of takeover activity that followed in the 1980s hadn’t yet kicked off and, in the absence of a 13D filing that might draw attention to Tappan, the stock languished for the next nine months.

Icahn opted to take matters into his own hands, setting up a May 1978 lunch between Blasius and Fred Sullivan, the chairman of the conglomerate Walter Kidde & Co., who owned a large block of Tappan stock. Icahn hoped that Sullivan might want to bolt Tappan’s stove business onto its *Faberware* division. He had, however, neglected to mention to Blasius that anyone else would be at the lunch. Blasius was enraged when he discovered on the morning of the lunch that Sullivan would be attending and, further, that he was interested in acquiring Tappan. At the lunch, Blasius made it clear that the company was not for sale. Taken aback, Sullivan told Blasius and Icahn that he wouldn’t entertain a hostile takeover, so the acquisition was a non-starter. Blasius’s post-lunch memo noted that Sullivan “understood that we were not for sale and, therefore, would not go any further. Then he added without any suggestion on my part, ‘If anyone comes along that you are not interested in, or you would like to come to a friendly port, we would be very happy to talk to you.’”<sup>13</sup> If Blasius was relieved when he heard Sullivan say that he wouldn’t take the Tappan acquisition any further, Icahn heard that a Tappan acquisition was in the offing if he could